$$\text{Return on Equity} = \frac{242}{1409} = 16\text{-}17\%$$

Thus, the company is generating a return of 16–17 percent on the capital used in the business as equity, which is a respectable return.Let us look at the trend once more.

Let us look at the calculation of **ROE for Dupont analysis.**

PAT / Equity i.e ROE can also be represented as

$$\text{Return on Equity} = \frac{\text{PAT}}{\text{Revenue}} \times \frac{\text{Revenue}}{\text{Equity}}$$

$$= \frac{\text{PAT}}{\text{Revenue}} \times \frac{\text{Revenue}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}}$$

$$= \text{PAT Margin} \times \text{Asset Turnover} \times \text{Leverage}$$

$$= \frac{242}{6410} \times \frac{6410}{5008} \times \frac{5008}{1409}$$

$$= 4\% \times 1.3\% \times 3.3\%$$

$$= 16\text{-}17\%$$

We must highlight that Dupont analysis uses net profit margin, asset turnover rate, and a high degree of financial leverage. We can understand the trend in these to identify the performance of the company at different fronts.

Return on equity is one of the most important financial ratios from analysis point of view as:

- Return on equity shows how efficiently capital is being used in the business.
- When anything in the income statement or the balance sheet gets affected, return on equity gets affected.
- Dupont analysis gives a very detailed breakdown of entire company's performance.